

The fixed charges and nonoperating income of Southern Pacific are estimated on the basis of the 1920 report, as adjusted to reflect the segregation of the oil lands.

It will be seen at once that Atchison makes the best exhibit, not alone in earnings per share, but especially in the small ratio of fixed charges to available income. The combined income account of New York Central and its subsidiaries indicates very substantial profits per share, but due consideration must be given here to the large proportion of its total capitalization represented by bonds and rental agreements.

The conclusions indicated by the 1921 figures are confirmed by a consideration of the record of each company since 1914. We give the annual earnings per share during this period, as shown at the bottom of page 832. For 1918, 1919, and 1920, two results are presented, based both on the actual operations and on the government rental and guarantee. The Southern Pacific figures are adjusted as indicated on page 832.

Not the least remarkable feature of the above exhibit is the regularity with which Atchison's net has been maintained at a high rate since 1915, despite the unusual conditions affecting the carriers as a whole during a good part of this period. The contrast with New York Central and Southern Pacific is especially sharp in the transition year 1920.

Another significant feature is the substantial increase in Atchison's nonoperating income, which rose from \$4,311,000 in 1918 to \$15,100,000 in 1919 and \$9,842,000 in 1920. A good part of these profits was derived from its oil properties, the importance of which seems to have been insufficiently recognized.

Operating Statistics. The superior earning power of Atchison as compared with both Southern Pacific and New York Central, rests to some extent on a smaller capitalization in relation to gross receipts, but more particularly upon lower operating expenses. The appended table shows clearly the advantage enjoyed by Atchison in the field of transportation costs: